

1.1 Enterprise and entrepreneurship

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank

Each entry shows the original paper pages (the entire question — case study extract, data tables, figures, and the question itself) followed by the mark scheme answer for that specific sub-question.

- **Total questions:** 18
- **Total marks:** 56
- **Sub-topics covered:** 3
- **Original PDF pages embedded:** 57

By series:

- **Specimen SAMs:** 3 questions
- **June 2019:** 1 question
- **Nov 2020:** 2 questions
- **Nov 2021:** 5 questions
- **June 2022:** 2 questions
- **June 2023:** 4 questions
- **June 2024:** 1 question

1.1.1 The dynamic nature of business (7 questions)

Specimen SAMS · Paper 1 · Q7(e) · §C

Evaluate

12 marks

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 22, 23, 27 (SPECIMEN SAMS PAPER 1)

(c) Analyse the impact on *Meringue* of using a bank loan to pay for the contactless payment system.

(6)

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(Total for Question 5 = 10 marks)

- 6 Neil and Sue have produced the following break even diagram, showing the costs and revenue for their business.

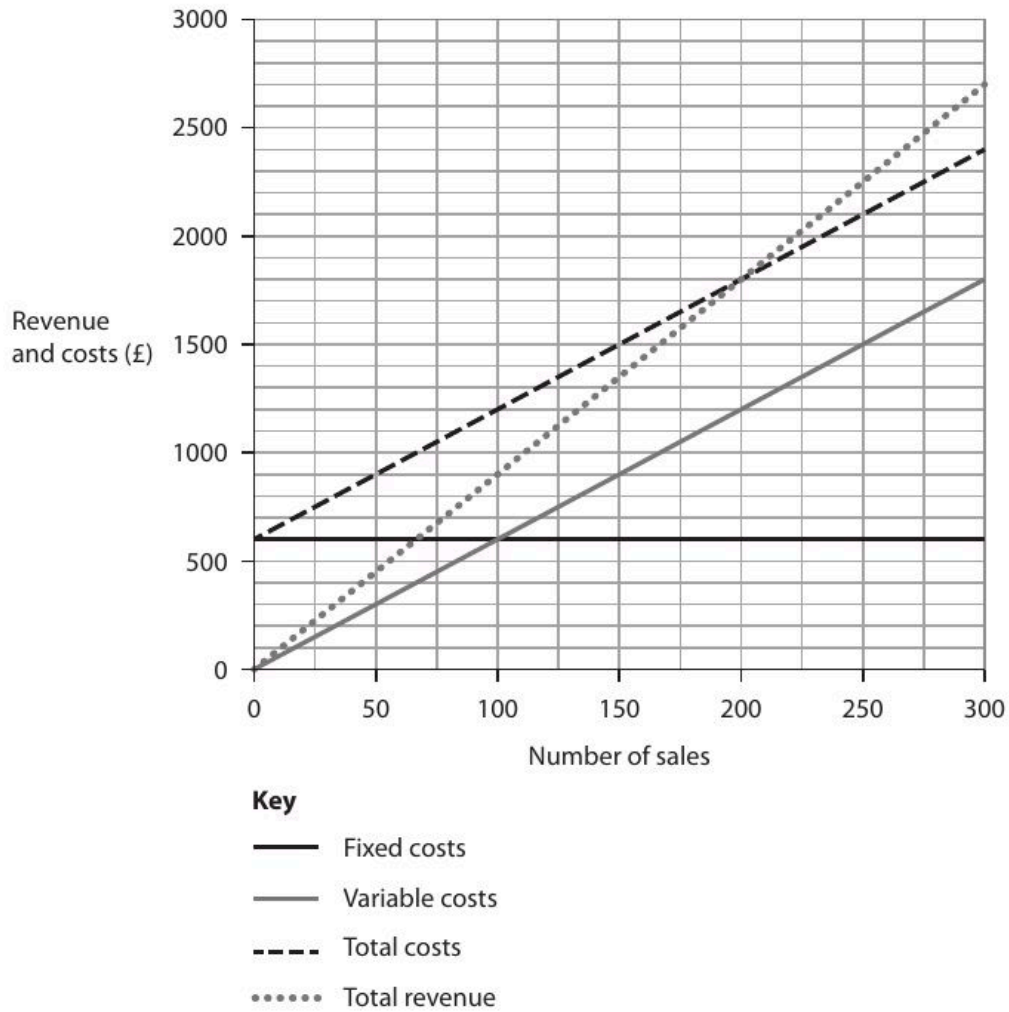


Figure 3

- (a) Identify the total number of sales that Neil and Sue will need to break even.

(1)

- (b) Identify the profit made by *Meringue*, by shading the correct region of the graph in Figure 3.

(1)

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Indicative content: Entrepreneurs use market research to identify gaps in the market (AO1b). Some small businesses can suffer at times when consumer income is falling (AO1b). Sally has conducted some primary research into competitors in her local area (as evidenced in Figure 6) and identified a gap in the market identified for personal trainers (AO2). As unemployment is rising and consumer income is falling, Sally's potential customers are likely to spend less on fitness and other non-essential services (AO2). Sally plans to differentiate her business through the use of social media and technology. This will help her to create a USP which would appeal to younger market segments and help her business stand out from competitors (AO3a). Sally currently has the security of a well-paid job but if she did not get enough customers in the short term she may find that she does not have enough income. If she chooses to be a sole trader, unlimited liability will mean her personal possessions are at risk (AO3a). As there are just two main competitors in this market, Sally's business idea has a good chance of success. By creating a USP based around technology, she has a good opportunity to differentiate her business from rival personal trainers (AO3b). The success of the business idea depends on some factors that are beyond Sally's control. However, if Sally gains a reputation as an excellent personal trainer the degree to which these factors will reduce her success are limited (AO3b). Level 1 (1-4), Level 2 (5-8), Level 3 (9-12) descriptors apply.

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 1)

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3 (a) Which **one** of the following is a characteristic of a sole trader?

(1)

Select **one** answer.

- ☐ A They require a business qualification
- ☐ B They have unlimited liability
- ☐ C They can sell shares to raise finance
- ☐ D They do not employ staff

Figure 1 shows the total costs for a business between May and July.

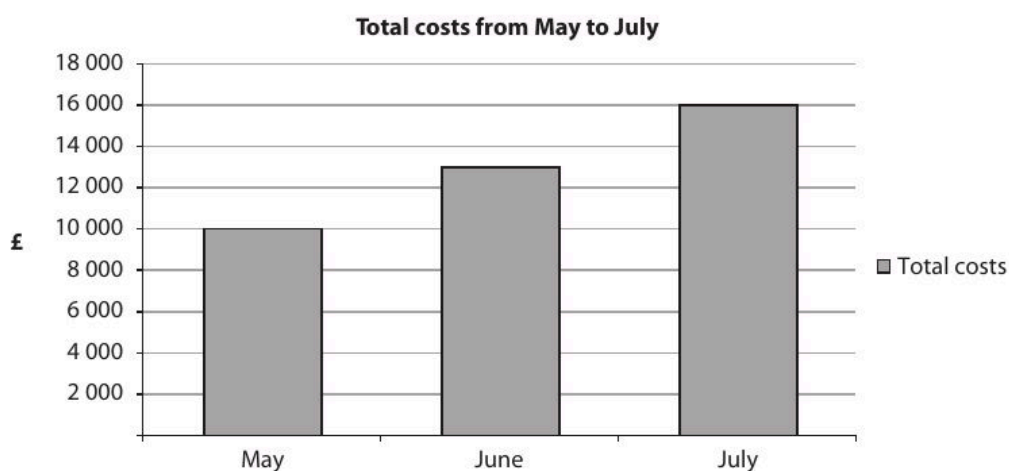


Figure 1

(b) Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

(2)

..... %



7

Turn over ►

(c) Explain **one** reason why new business ideas come about.

(3)

(d) Explain **one** advantage to a small business of using market mapping.

(3)

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(e) Discuss how the decision making of a small business may be affected by increased competition.

(6)

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. A new business idea may come about because consumers want something new (1). Existing products may not meet customer needs (1). This can lead to an entrepreneur spotting a new business opportunity in the market (1). A new business idea may come about because of changes in technology (1). This allows new products to be created (1). Entrepreneurs will therefore look to create demand for this new product (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (NOV 2021 PAPER 1)

2 (a) Which **two** of the following can be interpreted from a break even diagram?

(2)

Select **two** answers.

- ☐ A Insolvency
- ☐ B Margin of safety
- ☐ C Market share
- ☐ D Net cash flow
- ☐ E Profit

(b) Which **two** of the following are types of technology that could be used by a business?

(2)

Select **two** answers.

- ☐ A Consumer law
- ☐ B Crowd funding
- ☐ C Digital communication
- ☐ D Marketing mix
- ☐ E Payment systems

Table 1 shows the cash-flow forecast for a small business.

(c) Complete the table with the **two** missing figures.

(2)

	May (£)	June (£)
Cash inflows	12 600	13 400
Cash outflows	8 200	9 100
Net cash flow	4 400	(ii)
Opening balance	600	5 000
Closing balance	(i)	9 300

Table 1



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(d) Explain **one** reason why an entrepreneur may adapt an existing product to come up with a new business idea.

(3)

(e) Explain **one** disadvantage to a small business of using a focus group to collect market research data.

(3)

(Total for Question 2 = 12 marks)



P 6 7 6 1 9 A 0 5 2 4

5

Turn over ►

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks.

The business already understands the market (1). Market research may have already been carried out for a previous product (1). This may lead to the business having a better understanding of customer needs (1).

It can reduce the development costs of creating a new product (1). This will reduce the need to obtain new sources of finance (1). Therefore, it may take less time to launch the new business idea (1).

Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 14, 15, 16 (NOV 2021 PAPER 1)

6 (a) State **one** fixed cost that *Sports Tours Ltd* will need to pay.

(1)

(b) Outline **one** likely impact of changing levels of consumer income on *Sports Tours Ltd*.

(2)

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Handwriting practice lines for Question 6.

(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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Indicative content: Using professional sports venues will give sports teams an experience they may not have had before (AO2). Sports teams will benefit from the extra knowledge and experience that top class coaching could provide (AO2). This will give the sports tours a USP and more attractive to teams who will be prepared to pay a premium price for playing at a professional stadium. This may be something that they could not organise themselves and will need Sports Tours Ltd to organise for them (AO3a). The extra service would allow the quality of the tours to be higher than if the teams just used their own coaches. It will also mean that any training sessions that take place would add to the experience of the tour (AO3a). However, it may be difficult to arrange to use these facilities and Sports Tours Ltd may not be able to provide the facilities as promised. The higher price of doing this may not be attractive to teams as changing consumer income has already affected demand (AO3b). However, the business offers tours for a wide range of sports and finding the right number of coaches could be difficult. Most sports teams would have their own coaches and may feel that this extra service is not worth the money (AO3b). Level 1 (1-3): Limited application; attempts to deconstruct; simple justification. Level 2 (4-6): Sound application; chains of reasoning; sound justification. Level 3 (7-9): Detailed application; logical chains of reasoning; clear justification based on thorough evaluation.

Look at this sub-question (Q1(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2022 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a variable cost?

(1)

Select **one** answer.

- ☐ A Insurance
- ☐ B Packaging
- ☐ C Rent
- ☐ D Salaries

- (b) Which **one** of the following could be used to identify a market segment?

(1)

Select **one** answer.

- ☐ A Demographics
- ☐ B Inflation
- ☐ C Marketing mix
- ☐ D Revenue

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(c) Explain **one** risk for an entrepreneur when starting a new business.

(3)

(d) Explain **one** way a small business could add value to a product.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



P 6 5 5 6 1 A 0 3 2 4



Award 1 mark for identification of a way of adding value, plus 2 further marks for explaining this way up to a total of 3 marks. One way that a business could add value is to improve the quality of its product (1). Customers would therefore be willing to pay a premium price for the product (1). This leads to a larger difference between the final price and costs of raw materials (1). A business could add value through developing a unique selling point (1). This will differentiate the product from its rivals (1). Therefore, customers will pay extra for the product as they feel the product is better than the competition (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2023 PAPER 1)

3 (a) Which **one** of the following could a small business use to add value?

(1)

Select **one** answer.

- ☐ A Locate in a convenient place
- ☐ B Pay a higher rate of taxation
- ☐ C Reduce its cash inflows
- ☐ D Use a long-term source of finance

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20

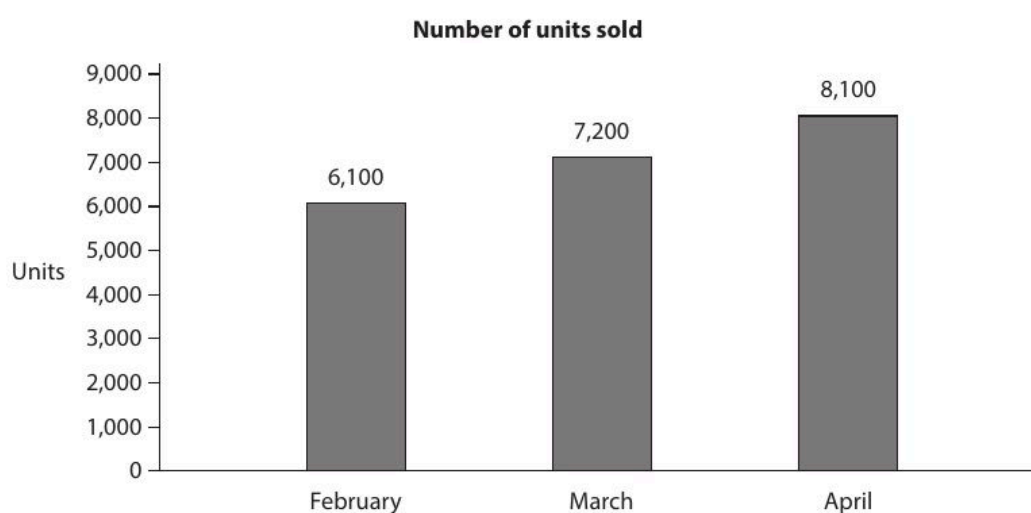


Figure 1

(b) Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

(2)

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(c) Explain **one** disadvantage to a small business of not paying its employees on time.

(3)

(d) Explain **one** advantage to a small business from using retained profit as a source of finance.

(3)



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Turn over ►

(e) Discuss the impact on a small business from adapting existing products to develop new business ideas.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



The only correct answer is A – Locate in a convenient place. B is not correct because it is not used to add value. C is not correct because it is not used to add value. D is not correct because it is not used to add value.

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2023 PAPER 1)

3 (a) Which **one** of the following could a small business use to add value?

(1)

Select **one** answer.

- ☐ A Locate in a convenient place
- ☐ B Pay a higher rate of taxation
- ☐ C Reduce its cash inflows
- ☐ D Use a long-term source of finance

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20

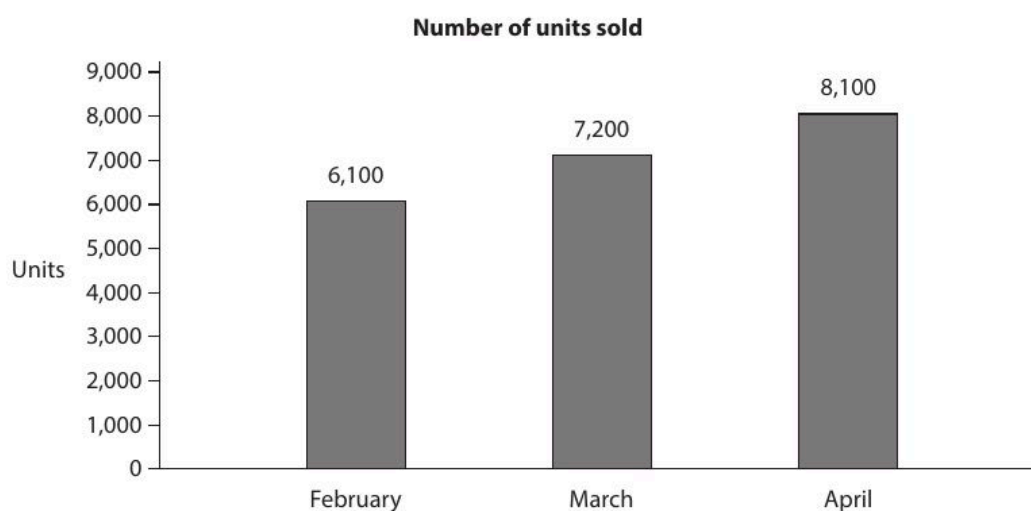


Figure 1

(b) Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

(2)

£



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(c) Explain **one** disadvantage to a small business of not paying its employees on time.

(3)

(d) Explain **one** advantage to a small business from using retained profit as a source of finance.

(3)



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Turn over ►

(e) Discuss the impact on a small business from adapting existing products to develop new business ideas.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Indicative content: Adapting existing products can take less time and creative input than creating original ideas (AO1b). Adapting existing products may not be as innovative as creating original ideas (AO1b). New ideas can be brought to market ahead of competitor products and therefore provide a competitive advantage to a business (AO3a). Less innovative ideas may not fully meet changing customer needs. Therefore, customers may choose a new product from a competitor that has filled a gap in the market (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

1.1.2 Risk and reward (7 questions)

Specimen SAMs · Paper 1 · Q7(a) · §C

State

1 marks

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 20, 27 (SPECIMEN SAMS PAPER 1)

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(Total for Question 4 = 8 marks)

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Award 1 mark for stating one risk Sally will face when starting her business. Financial risks as she is giving up her current paid employment (1). Insecurity of sales due to falling consumer incomes (1). Accept any other appropriate response. Do not accept risks that would not be appropriate for a personal trainer business such as Sally's, for example not being able to source trade credit.

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 10, 11, 12 (JUNE 2019 PAPER 1)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.



Source: © Elena Dijour/Shutterstock

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided *Last Course Patisserie* with a reputation for being flexible when meeting customer needs.

Getting the best ingredients for the desserts is a vital part of the business. *Last Course Patisserie* found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed.

Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. *Last Course Patisserie* is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for *Last Course Patisserie* to expand and possibly relocate to new premises.



(Source adapted from: <http://devondesserts.co.uk/>;
photo: © 2009-2018. *Last Course Patisserie Ltd.*)

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4 (a) Outline **one** risk taken by the owners when starting *Last Course Patisserie*.

(2)



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(6)

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(Total for Question 4 = 8 marks)

P 5 9 9 2 5 A 0 1 2 2 4

Award up to 2 marks for linked points outlining a suitable risk taken by the owners. Award a maximum of 1 mark if points are not linked. The owners risked a loss of security (1) as they previously had jobs in the food industry (1). The owners risked financial loss (1). There may not have been a demand for hand-made desserts (1). Do not accept a risk that would not be appropriate for the owners. For example, she risked losing her personal possessions.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2020 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a reward from business activity?

(1)

Select **one** answer.

- ☐ A Financial loss
- ☐ B Increased overheads
- ☐ C Independence
- ☐ D Lack of security

- (b) Which **one** of the following is a definition of market share?

(1)

Select **one** answer.

- ☐ A Market research that can be collected and analysed
- ☐ B The proportion of sales in a market made by one business
- ☐ C The total amount of money from business sales
- ☐ D A group of people who discuss their views on a product

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(c) Explain **one** benefit to a small business from having a unique selling point.

(3)

(d) Explain **one** advantage to a small business of using trade credit as a source of finance.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

The only correct answer is C - Independence. A is not correct because it is a risk from business activity. B is not correct because it is a risk from business activity. D is not correct because it is a risk from business activity.

Look at this sub-question (Q1(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2021 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a long-term source of finance?

(1)

Select **one** answer.

- ☐ A Overdraft
- ☐ B Revenue
- ☐ C Trade credit
- ☐ D Venture capital

- (b) Which **one** of the following could be used to identify customer needs?

(1)

Select **one** answer.

- ☐ A Business idea
- ☐ B Business objectives
- ☐ C Market research
- ☐ D Marketing mix

- (c) Explain **one** drawback to a business of having low levels of cash.

(3)

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(d) Explain **one** way an entrepreneur can reduce the risk of failure when starting a new business.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

Award 1 mark for identification of a way of reducing risk, plus 2 further marks for explaining this way up to a total of 3 marks.

One way that an entrepreneur could reduce risk is to carry out market research (1). Market research will allow the entrepreneur to understand the needs of the customer (1). Therefore, the entrepreneur can develop a product or service that customers want and are more likely to buy (1).

An entrepreneur could produce a cash-flow forecast (1). This will help to identify times when the business may experience a shortage of cash (1). Therefore, the entrepreneur can make plans to deal with these issues to help reduce the risk of insolvency (1).

Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q1(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2022 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a variable cost?

(1)

Select **one** answer.

- ☐ A Insurance
- ☐ B Packaging
- ☐ C Rent
- ☐ D Salaries

- (b) Which **one** of the following could be used to identify a market segment?

(1)

Select **one** answer.

- ☐ A Demographics
- ☐ B Inflation
- ☐ C Marketing mix
- ☐ D Revenue

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(c) Explain **one** risk for an entrepreneur when starting a new business.

(3)

(d) Explain **one** way a small business could add value to a product.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

Award 1 mark for identification of a risk, plus 2 further marks for explaining this risk up to a total of 3 marks. An entrepreneur may take a financial risk when starting a business (1). This is because a new business will need financial investment to start up (1). If the business fails then the entrepreneur could lose this money (1). An entrepreneur may have to give up their job to start the business (1). This could lead to them losing regular income from wages/salary (1). This will lead to a lack of security in their lives (1). Accept any other appropriate response. Answers that list more than one risk with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 27 (JUNE 2023 PAPER 1)

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SECTION C**Answer ALL questions. Write your answers in the spaces provided.****In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.**

- 7 (a) State **one** example of a risk for an investor in *Ripple*.

(1)

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019.

2018		2019	
Type of energy	% of use	Type of energy	% of use
Gas	39.4	Gas	40.6
Renewables	33.3	Renewables	37.1
Nuclear	19.5	Nuclear	17.3
Coal	5.0	Coal	2.2
Oil	2.8	Oil	2.8

Table 4

(Source: adapted from <https://smarterbusiness.co.uk/blogs/where-does-the-uk-energy-supply-come-from/>)

- (b) Using the information in Table 4, identify which type of energy use declined the most between 2018 and 2019.

(1)



P 7 1 0 3 6 A 0 1 7 2 4

17

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(c) Outline **one** benefit to customers from *Ripple* asking questions to identify its customer needs.

(2)

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In order to help small businesses, such as *Ripple*, become successful the UK government is considering two options:

Option 1: reduce the tax paid by small businesses

Option 2: provide free training if businesses recruit new employees.

(d) Justify which **one** of these two options would have the most significant impact on the success of *Ripple*.

(9)

Handwriting practice lines consisting of 20 horizontal dotted lines.



Handwriting practice area with 10 horizontal lines.

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(e) Evaluate the importance of price in *Ripple*'s marketing mix. You should use the information provided as well as your knowledge of business.

(12)

Handwriting practice area with horizontal lines.



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Turn over ►

Handwriting practice area with 20 horizontal lines.

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B



(Source: © fokke baarssen/Shutterstock)

Figure 3

Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying *Ripple* to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but *Ripple* claims that it can supply energy cheaper than its competitors.

The process of becoming a member is very simple. Firstly, *Ripple* will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. *Ripple* manages the wind farm and provides energy to each customer's home or business.

Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

(Source: adapted from <https://rippleenergy.com/>)

P71036A

3

Award one mark for stating one risk for investors in Ripple. Loss of money invested in the wind farm (1). Investors may not receive enough energy for home/business needs (1). Business may fail due to lack of demand for renewable energy (1). To award 1 mark there must be evidence of application.

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 9, 10, 26 (JUNE 2024 PAPER 1)

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** possible risk to Keilan from setting up *Adikoggz*.

(2)



P 7 5 5 2 5 A 0 9 2 4

9

Turn over ►

(b) Analyse the importance to *Adikoggz* of identifying customer needs.

(6)

Handwriting practice lines for the answer.

(Total for Question 4 = 8 marks)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Award up to 2 marks for linked points outlining a risk of starting up Adikoggz. Award a maximum of 1 mark if points are not linked. Lack of security (1). This is because not enough people would have wanted to wear customised trainers (1). Keilan could have suffered financial loss (1). Any money invested in the business to buy cleaning equipment or stocks of new trainers could have been lost (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

1.1.3 The role of business enterprise (4 questions)

Specimen SAMS · Paper 1 · Q1(b) · \$A

MCQ

1 marks

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 6 (SPECIMEN SAMS PAPER 1)

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 23 (NOV 2021 PAPER 1)

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SECTION C**Answer ALL questions.****Read the following extract carefully and then answer Question 7.****Write your answers in the spaces provided.**

(Source: N 454 R/Shutterstock)



(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli.

The unique nature of *That Feeling* not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells *That Feeling* branded clothes and vintage glasses frames.

When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated:

'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.'

Justin now acts as a mentor to staff members at *That Feeling* by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business.

(Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)



17

Turn over ►

7 (a) State **one** example of a cash outflow for *That Feeling*.

(1)

Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000.

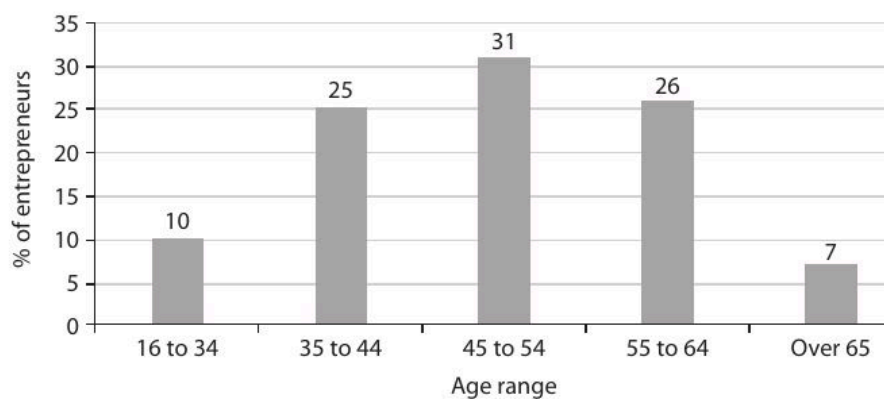


Figure 2

(Source: adapted from <https://startups.co.uk/the-average-entrepreneur/>)

(b) Using the information in Figure 2, identify what percentage of entrepreneurs were in the same age range as Justin when he started *That Feeling*.

(1)



(c) Outline **one** benefit to employees at *That Feeling* from being mentored by Justin.

(2)

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P 6 7 6 1 9 A 0 1 9 2 4

19

Turn over ►

In order to improve its brand awareness, *That Feeling* is considering two options:

Option 1: increase its range of own brand clothing

Option 2: open a second shop.

(d) Justify which **one** of these two options *That Feeling* should choose.

(9)

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(e) Evaluate the importance of achieving non-financial objectives for the success of *That Feeling*. You should use the information provided as well as your knowledge of business

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 6 7 6 1 9 A 0 2 3 2 4

10%

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 23 (NOV 2021 PAPER 1)

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(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

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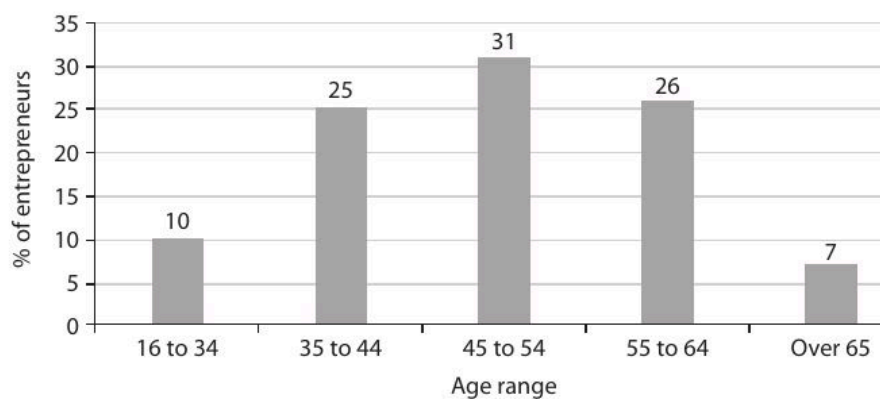


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P 6 7 6 1 9 A 0 1 9 2 4

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P 6 7 6 1 9 A 0 2 1 2 4

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Turn over ►

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 6 7 6 1 9 A 0 2 3 2 4

Award up to 2 marks for linked points outlining a benefit to employees at That Feeling. Award a maximum of 1 mark if points are not linked.

Employees will feel more valued (1). Therefore they will be happier in their jobs as barbers (1).

Employees will have more skills (1). Justin can pass his expertise on the best way to cut hair (1).

Do not accept a benefit that would not be appropriate for employees at That Feeling.

Look at this sub-question (Q2(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2023 PAPER 1)

2 (a) Which **two** of the following are examples of customer needs?

(2)

Select **two** answers.

- ☐ A Choice
- ☐ B Profit
- ☐ C Quality
- ☐ D Risk
- ☐ E Taxation

(b) Which **two** of the following are roles of an entrepreneur?

(2)

Select **two** answers.

- ☐ A Going to university
- ☐ B Organising resources
- ☐ C Personal satisfaction
- ☐ D Taking risks
- ☐ E To be a sole trader

Table 1 contains information about a small business.

Fixed costs	£10 000
Variable cost	£2.50 per unit
Selling price	£5.00 per unit
Break even level of output	4,000 units

Table 1

The business increases the selling price of its product to £6.50 per unit.

(c) Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

(2)

..... units



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(d) Explain **one** way a small business could become more competitive.

(3)

(e) Explain **one** advantage to a small business of meeting its legal obligations.

(3)

(Total for Question 2 = 12 marks)



5

Turn over ►

The only correct answers are B – Organising resources and D – Taking risks. A is not correct because it is not a role of an entrepreneur. C is not correct because it is a non-financial aim. E is not correct because it is a type of business ownership.